

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST, COMPLAINANTS,

v.

APS EAST COAST, INC., RESPONDENT.

**COMPLAINANTS' OPPOSITION
TO
RESPONDENT'S MOTION FOR LEAVE TO FILE ITS SUR-REPLY, OR IN THE
ALTERNATIVE, TO STRIKE COMPLAINANTS' SUPPLEMENTAL APPENDIX AND
ADDITIONAL ARGUMENTS**

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I. INTRODUCTION

The briefing schedule in this matter directed the following merits submissions: (1) Complainant’s brief, proposed findings of fact, and appendix (“Complainants’ Brief”); (2) Respondent’s opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix (“Respondent’s Opposition”); and (3) Complainant’s reply brief and responses to proposed findings of fact (“Complainants’ Reply”), to be filed, respectively, on June 7, 2024, July 19, 2024, and August 6, 2024. *See* Scheduling Order, Doc. No. 16, Sept. 15, 2023 (“Initial Scheduling Order”); Revised Scheduling Order at 5, Doc. No. 27, Mar. 4, 2024; Order on Extension of Time at 2, Doc. No. 30, May 30, 2024 (collectively, the “Scheduling Orders”).

On August 30, 2024—three and a half weeks after Ports America Chesapeake, LLC, and Marine Terminals Corporation-East (“Complainants” or “Ports America”) filed Complainants’ Reply—APS East Coast, Inc. (“Respondent” or “AMPORTS”) filed its “Motion for Leave to File Its Sur-reply, or in the Alternative, to Strike Complainants’ Supplemental Appendix and Additional Arguments” (“Motion for Leave”), along with the proposed sur-reply (the “Sur-reply”).

Respondent’s belated Motion for Leave requests leave to file the Sur-reply based on its assertions that Complainants’ Reply (1) contains new arguments beyond the scope of the Complaint, Complainants’ Brief and Respondent’s Opposition regarding business judgement deference, retaliation, and lost business, *Id.* at 1-2; (2) contains new evidentiary submissions without first seeking leave to supplement the record in alleged violation of the Federal Maritime Commission’s (“FMC” or “Commission”) Rules of Practice and Procedure (“Rules”) 216, 69, and 66(a), 46 CFR §§ 502.216, 502.69, and 502.66(a); and (3) allegedly contains certain arguments and “misrepresentations” that Respondent seeks to further reply to in order to “clarify its position” and “set the record straight.” Motion for Leave at 5.

In the alternative to the requested Sur-reply, Respondent moves to strike the alleged “new material in Complainants’ Supplemental Appendix” and the “additional arguments” pursuant to Rule 216 and Rule 66.

Respondent’s Motion for Leave should be denied. As discussed more fully below, the three matters Respondent complains of were not “new arguments” outside the permissible scope of Complainants’ Reply. The evidence in the supplemental appendix was properly cited in rebuttal to AMPORTS’ Proposed Findings of Fact, and cited in Complainants’ Reply in direct response to arguments in Respondent’s Opposition. Rebutting Proposed Findings of Fact with citations to evidence and replying to arguments in Respondent’s Opposition is wholly appropriate in a reply. AMPORTS’ remaining arguments seeking to “clarify its position” and “set the record straight” are merely efforts to obtain a “reply to a reply,” which is not authorized by the Scheduling Order and not permitted under Commission Rules except in extraordinary circumstances. AMPORTS’ Motion for Leave is a blatant attempt to reargue points already made in Respondent’s Opposition, an improper attempt to get the last word, and fails to establish extraordinary circumstances warranting the proposed Sur-reply.

The alternative motion to strike based on alleged violation of Rule 216 and Rule 66 should also be denied because neither Rule applies here. Rule 216 applies to submission of supplemental evidence *after* the parties complete their presentation of the case to the Presiding Officer, not to a reply brief *during* a party’s presentation of the case. Rule 66 applies to *pleadings*, not *merits briefing*, and even if it did apply to briefing, Complainants’ Reply does not “broaden the issues” for decision.

Accordingly, the Presiding Officer should deny Respondent’s Motion for Leave, the proposed Sur-reply should not be included in the record, and the arguments raised in the Motion for Leave bearing on the proposed Sur-reply should be given no consideration in the initial decision.

II. APPLICABLE LAW

The requirements for briefing in this proceeding were initially set out in the Initial Scheduling Order. The Initial Scheduling Order directed the parties to file the Opening Brief, Respondent's Opposition, and Complainants' Reply, and associated proposed findings of fact and appendices, in compliance with Rule 214, 46 CFR § 502.214 ("The presiding officer will determine the time and manner of filing briefs and any enlargement of time.").

Neither Rule 214, nor the Scheduling Orders, specifically address the permissible scope of Complainants' Reply. The Motion for Leave does not cite any specific rule on the scope of Complainants' Reply either, but argues that its proposed Sur-reply is warranted because Complainants allegedly "expanded their arguments to include issues not raised previously in either the Complaint, Complainants' Brief, or Respondent's Brief." Motion for Leave at 5. Despite Respondent's lack of citation, the permissible scope of a reply brief implied by its argument is materially similar to the analogous rule for dispositive motion replies set forth in Rule 70(c), 46 CFR § 502.70(c) ("[a] reply may not raise new grounds for relief or present matters that do not relate to the response...").

In addition to Rule 214, the Initial Scheduling Order provides instructions for the form of each party's proposed findings of fact, responses to proposed findings of fact, and appendix. As to each "[Party's] Responses to [Party's] Proposed Findings of Fact" (brackets in original) "[e]ach proposed finding of fact that an opposing party denies shall be followed by an exact citation to evidence that the opposing party contends will rebut the evidence the proposing party claims supports the proposed finding of fact." Initial Scheduling Order at ¶ 3. "The evidence on which a party's proposed findings of fact or response to another party's proposed findings of fact is based shall be included in an appendix." *Id.* at ¶ 4. Where cited evidence is already in an appendix, the parties are

instructed to cite to the document in an existing appendix, rather than including duplicative cited evidence in its own appendix. *Id.* at ¶ 4(e).¹

A reply to a reply is not authorized by the Scheduling Orders, and Commission Rules generally do not permit replies to replies. For example, Rule 70 states in relevant part that “[t]he non-moving party may not file any further reply unless requested by the Commission or presiding officer, or upon a showing of *extraordinary circumstances*.”² (emphasis added). 46 CFR §502.70(d). “Extraordinary circumstances” is a high bar which is not easily met. As the Commission recently explained when denying a motion to file a reply to a reply, “simply disagree[ing] with [the opposing party’s] arguments on the merits and seek[ing] to have the last word” do not “constitute extraordinary circumstances that warrant a reply brief.” *See, e.g., Crocus Investments, LLC & Crocus, FZE v. Marine Transport Logistics*, Dkt. 15-04, Memorandum Opinion and Order (FMC Mar. 6, 2017) (rejecting a motion for leave under Rule 70 based on assertions of “unfounded allegations” and “conflicting representations”).

The Presiding Officer explained in *Seafair USA LLC v. Sterling Container Line Ltd.* that when evaluating a motion for leave to file a sur-reply:

[A] court should consider whether the reply actually raises arguments or issues for the first time, whether the proposed sur-reply would aid resolution, and whether prejudice would result from leave being granted. *Glass v. Lahood*, 786 F. Supp. 2d 189, 230-31 (D.D.C. 2011). A sur-reply should not be used as a means of getting the last word or endlessly prolonging briefing - where the arguments raised in a reply fall within the scope of the matters raised in the opposition, and even where the reply mischaracterizes factual and legal arguments in the opposition, a sur-reply is not normally appropriate because the court is capable of ascertaining the merits

¹ The form requirements in the Initial Scheduling Order mirror the requirements for motions for summary decision set forth in the Initial Order under Rule 70. *See* Initial Order at 4, ¶ 16-18, Doc. No. 4, June 21, 2023, *citing* Rule 70, 46 CFR § 502.70.

² The standard is the same for both dispositive and non-dispositive motions, *i.e.* “extraordinary circumstances.” *See* Rules 70 and 71.

of the parties' positions on its own. *Crummey v. Soc. Sec. Admin.*, 794 F. Supp. 2d 46, 63 (D.D.C. 2011).³

III. ARGUMENT

A. Complainants' reply to Respondent's Opposition was proper and does not introduce new arguments warranting a Sur-reply

Respondent's central argument is that Complainants' Reply "expanded their arguments to include issues not raised previously in either the Complaint, Complainants' Brief, or Respondent's Brief." Motion for Leave at 5. Specifically, Respondent argues that three "new arguments" were beyond the permissible scope of a reply, and thus the requested Sur-reply on those matters is warranted. The first, and dispositive, problem with Respondent's argument is that each of the three matters it complains about are clearly within the scope of a permissible reply. We address each in turn.

(1) Respondent claims that Complainants' Reply impermissibly advanced "newly raised arguments on the issue[] of ... business judgement deference." Motion for Leave at 5. That is plainly not the case. Complainants' Reply does not newly raise arguments on business judgment deference—it directly responds to the new business judgement deference arguments raised in Respondent's Opposition. Respondent's Opposition raised business judgement deference as a defense, arguing that its conduct was reasonable because its business judgment should be entitled to deference. Respondent's Opposition at 22-24, 28, and 32. Indeed, an entire section of Respondent's Opposition is devoted to the argument, section IV, titled "Commercial Decisions are Entitled to Deference," *Id.* at 22-24, and related conclusions that "[a]ccordingly, any difference of treatment alleged by Ports America, was a reasonable exercise of APS' business judgment which is entitled to deference." *Id.* at 28. Complainants rebutted the business judgement arguments in a section of Complainants' Reply,

³ Dkt. No. 22-34, 2023 WL 6811143, at *1 (ALJ Oct. 10, 2023).

titled “AMPORTS’ ‘business judgment’ is not entitled to deference because its practices were not reasonable under the Shipping Act.” Complainants’ Reply at 14-16. Addressing the business judgement arguments was plainly within the permissible scope of a reply and did not raise a new argument for the first time in the reply. AMPORTS merely seeks to have the last word on the matter, a quintessential “reply to a reply” not warranted under FMC Rules and precedent.

(2) Respondent claims that Complainants’ Reply impermissibly advanced “newly raised arguments on the issue[] of ... alleged retaliation.” Motion for Leave at 5. That assertion does not warrant the proposed Sur-reply either. Complainants’ Reply does not newly raise arguments on the issue of alleged retaliation. AMPORTS refers to references in one paragraph of the introduction in Complainants’ Reply explaining that a *cease and desist order* is warranted to prevent ongoing and future violations of the Shipping Act in connection with AMPORTS’ tariff enforcement efforts, *i.e.*, including potentially barring access to the terminal if Ports America does not pay the disputed Access Fees. Complainants’ Reply at 5. A cease and desist remedy was sought in the Complaint, at ¶ 11, and in the Opening Brief, at 28, 37 and 65. AMPORTS opposed all requested relief in Respondent’s Opposition, at 46. The introduction to Complainants’ Reply explained that Complainants are entitled to cease and desist and reparations relief, matters plainly relating to Respondent’s Opposition and not raising new arguments.

Further, neither the cease and desist remedy nor the possibility of retaliatory actions (such as locking Ports America out of the terminals for non-payment of unlawful charges at issue in this proceeding) advance a new retaliation cause of action, nor advance a new retaliation argument in support of such a cause of action. In all events, a sur-reply on whether AMPORTS has engaged in “retaliation” against Ports America by threatening to lock Ports America out of the terminal would

not aid resolution of the proceeding because there is no retaliation cause of action at issue in the proceeding.⁴

(3) As to alleged new arguments on “lost business,” Respondent claims that Complainants’ Reply impermissibly advanced new arguments “regarding the alleged lost business dependent upon the newly submitted materials” in the supplemental appendix that Complainants’ “plainly intend to use [as] a basis for the calculation of potential damages.” Motion for Leave at 1-2, 4. Contrary to Respondent’s assertions, Complainants’ Reply does not raise new arguments on the calculation of damages based on the documents in the supplemental appendix.

First, as discussed below, the evidence was included in the supplemental appendix because Complainants’ cited to that evidence in support of its denial of Respondent’s Proposed Finding of Fact, ¶ 58, which asserted that damages evidence was not produced until the evening before the last deposition was taken. *See* Complainants’ Response to Respondent’s Proposed Finding of Fact, ¶ 58.

Second, the citation to that evidence in Complainants’ Reply was contained in footnotes to one sentence on page 32 of Complainants’ Reply, in direct response to Respondent’s argument in Respondent’s Opposition, at page 40, asserting that damages evidence was not produced until the evening before the last deposition was taken. *See* Complainants’ Reply at 30, 32. Complainants did not cite to the evidence, or raise new arguments, about the calculation of damages. Evidence on the basis for the calculation of damages is already in the existing record. It was entirely appropriate and

⁴ The possibility of AMPORTS locking Ports America out of the terminal is also not new evidence. The appendix submitted with the Opening Brief includes an email from AMPORTS’ COO Ben Buben about Ports America contesting invoices disputed in this proceeding, stating that AMPORTS would “let our lawyers tell PA that we are locking them out of our terminal.” CX_01500, AMPORTS 143(b)(6) Dep. Ex. 38. The same subject was also addressed in testimony in the record, CX_00258-62, AMPORTS 143(b)(6) Dep. Tr. 221:14-225:16; CX_00500-03, Buben Dep. Tr. 173:19-176:21, and Respondent’s new tariff rule establishing the \$10 per car access fee, also in the record, explicitly states that “[f]ailure by a stevedoring service provider to: . . . pay when due the access fee . . . may result in denial of access to the Terminal.” CX_01962, Tariff Rule 34 2.

permissible in Complainants' Reply to respond to arguments in Respondent's Opposition regarding the timing of when damages evidence was produced in discovery.

The only "newly raised" arguments at issue appear to be the ones that AMPORTS is seeking leave to make—arguments that are plainly not about when damages evidence was produced in discovery—but instead about rearguing and/or raising new substantive damages arguments not raised in Complainants' Reply. Advancing new arguments, and getting the last word on damages, would not aid in resolution of the question of when evidence was produced, which is fully briefed. And a sur-reply containing new arguments beyond the issue of when evidence was produced would prejudice Complainants absent the opportunity for a reply to the Sur-reply. Unlike the new evidence considered in *Seafair*, there is no substantive new argument or issue in connection with the evidence warranting a sur-reply here. The Motion for Leave "should not be used as a means of getting the last word or endlessly prolonging briefing." *Seafair*, 2023 WL 6811143 at *1.

B. Complainants' Supplemental Appendix was proper and does not impermissibly introduce new evidence warranting a Sur-reply

As noted above, the supplemental appendix evidence that Respondent complains about was included because Complainants' Response to Respondent's Proposed Findings of Fact denied proposed ¶ 58, and in compliance with the Initial Scheduling Order, provided "exact citation to evidence" in support of the denial, and included the cited evidence in its appendix.⁵ That was entirely proper, and indeed, it was required. Nevertheless, the Motion for Leave speculatively

⁵ The cited evidence was not included in Respondent's appendix, nor was it included in Complainants' Opening Brief appendix. However, in order to meaningfully rebut new arguments in an opposition in compliance with the Initial Scheduling Order requirements, a replying party should necessarily be permitted to cite evidence in rebuttal to an opposing party's proposed findings of fact and include the evidence in a supplemental appendix. Furthermore, the mere fact that a replying party cites and supplements rebuttal evidence should not warrant a sur-reply, absent the use of the evidence in a manner actually exceeding the permissible scope of a reply. To do otherwise would chill replying parties from appropriately contesting opposing parties' proposed findings of fact for fear that doing so would open up a right of sur-reply and give the opposing party the last word.

mischaracterizes the reason that the evidence was included in the supplemental appendix as an effort to “bolster” allegedly new damages arguments in Complainants’ Reply. Motion for Leave at 2, 4. But, as discussed above, the only argument in Complainants’ Reply that the evidence was cited to support was the entirely permissible rebuttal of the argument in Respondent’s Opposition that damages evidence was not produced until the end of discovery.

Respondent’s actual purpose for seeking leave to file the Sur-reply is a blatantly transparent attempt to bolster its own damages defense, which in Respondent’s Opposition was heavily reliant on the now discredited argument that Ports America’s damages evidence was not produced until late in discovery. AMPORTS’ attempt to bolster its damages defense, and have the last word on damages, is also amply demonstrated by its additional *Jarkesy* arguments in the Motion for Leave. AMPORTS argues that the evidence in the supplemental appendix is “moot”—which, if believed, calls into question why AMPORTS would seek leave to reply or to strike the evidence—but then proceeds to reargue its inapt application of *Jarkesy* for a second time, purportedly to “clarify its position” and “set the record straight.” Motion for Leave at 4-5. AMPORTS’ attempt to “have the last word” on damages does not “constitute extraordinary circumstances that warrant a reply brief.” *See, e.g., Crocus Investments, LLC & Crocus, FZE v. Marine Transport Logistics*, Dkt. 15-04, Memorandum Opinion and Order (FMC Mar. 6, 2017). And mischaracterizing the use of that evidence as a basis to both reargue Respondent’s Opposition on damages, and to raise new arguments not advanced in Complainants’ Reply, would not aid resolution of this case and would prejudice Complainants.

C. Respondent’s alternative motion to strike the supplemental appendix (and allegedly “new arguments”) is improper and should be denied

Respondent alternatively moves to strike Complainants’ “supplementary materials and its expanded arguments” pursuant to Rule 216 and Rule 66. Motion for Leave at 6. However, Respondent’s reliance on Rule 216 is entirely misplaced. Rule 216 provides in relevant part that “[a] motion to supplement the record... should be filed if submission of evidence is desired *after the*

parties' presentation in a proceeding, but before issuance by the presiding officer of an initial decision.” 46 CFR § 502.216 (emphasis added). Setting aside the fact that the supplemental appendix was entirely proper under the Scheduling Orders, the supplemental appendix (and Complainants’ Reply arguments) that Respondent is complaining about were submitted as part of Complainants’ Reply, *i.e.*, *during* Complainants’ presentation in this proceeding, not after as contemplated by Rule 216. Respondent’s reliance on Rule 66 is similarly misplaced. Rule 66 pertains to “amendments or supplements to *pleadings*” not *merits briefing*. 46 CFR § 502.66 (emphasis added).⁶ In any case, even if Rule 66 did apply here, which it does not, neither the supplemental appendix nor Complainants’ Reply “broaden the issues” for decision.

IV. CONCLUSION

For the foregoing reasons, Complainants respectfully request the Presiding Officer deny the Motion for Leave, direct that the proposed Sur-reply should not be included in the record, and give no consideration in the initial decision to the arguments raised in the Motion for Leave.

Respectfully Submitted,

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⁶ Rule 66(a) provides that “Amendments or supplements to any pleading (complaint, Order of Investigation and Hearing, counterclaim, crossclaim, third-party complaint, and answers thereto) will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues.”).

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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